



HY 2019 RESULTS

OUR STRATEGY

WHO WE ARE

Our Purpose

Simplifying
your world to
enable your
progress

Our Promise

Go Ahead

Our Values

Inspiring
Simple
Friendly

WHAT DRIVES US



Customer perspective

- Market share
- Shared value
- Brand position

Financial

- Profit before tax
- Efficiency
- Shareholder value

Internal Business processes

- System reliability
- Sustainability
- Control environment



Learning and growth

- Staff productivity
- Staff development
- Culture change

2015-2019 STRATEGY: TRANSFORMATIVE PARTNERSHIPS

HOW WE ACHIEVE IT

Simplified customer
journey

Digital first and fast

Optimize balance
sheet and drive asset
quality

Maximize on regional
businesses

Operational efficiency

Sustainability
agenda

OUR REGIONAL PRESENCE

Banking Businesses:

- KCB Bank Kenya
- KCB Bank Tanzania
- KCB Bank South Sudan
- KCB Bank Rwanda
- KCB Bank Uganda
- KCB Bank Burundi
- Ethiopia Rep. Office

Other Investments:

- KCB Capital Limited
- KCB Insurance Agency
- KCB Foundation
- Kencom House Limited



CUSTOMERS

19.3 MILLION



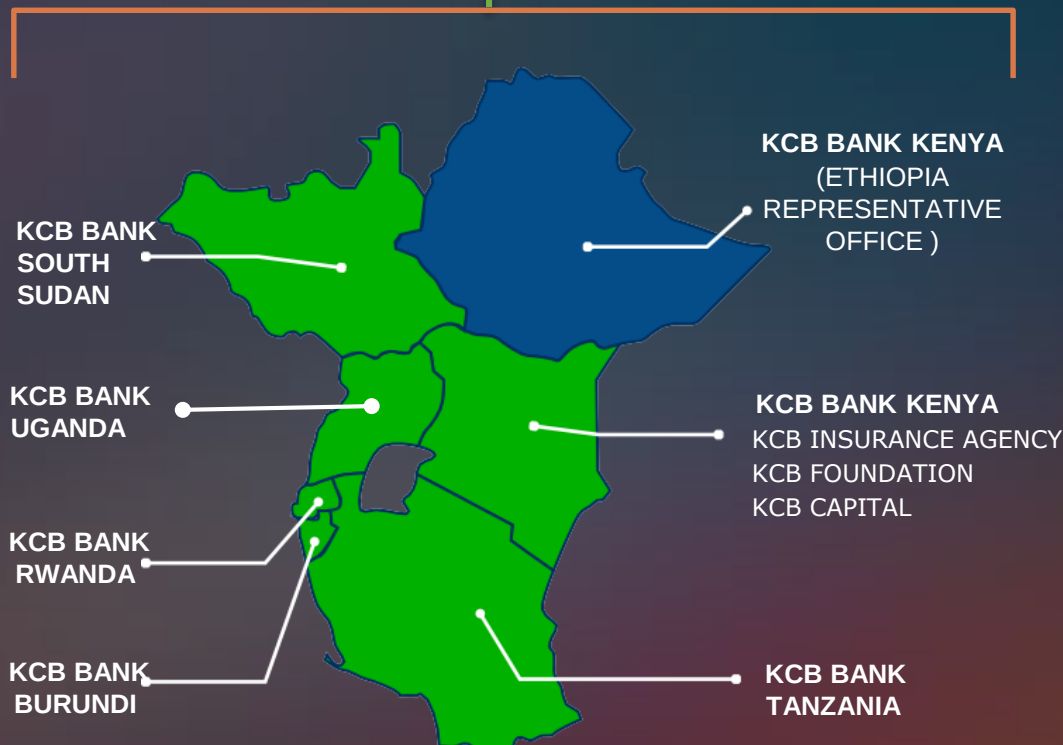
258 BRANCHES

979 ATMS,
18,812 AGENTS & MERCHANTS



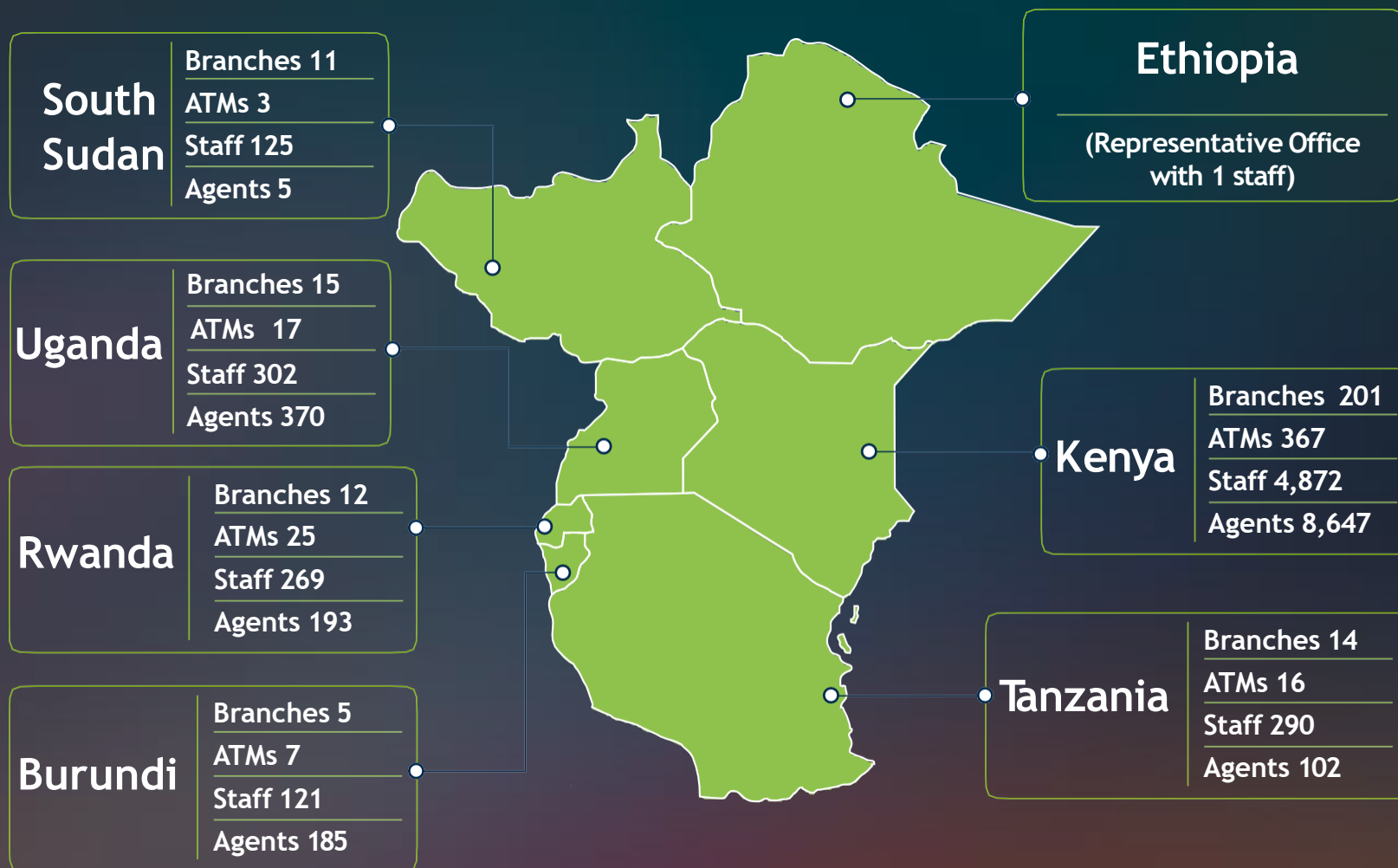
STAFF

5,980 FTE



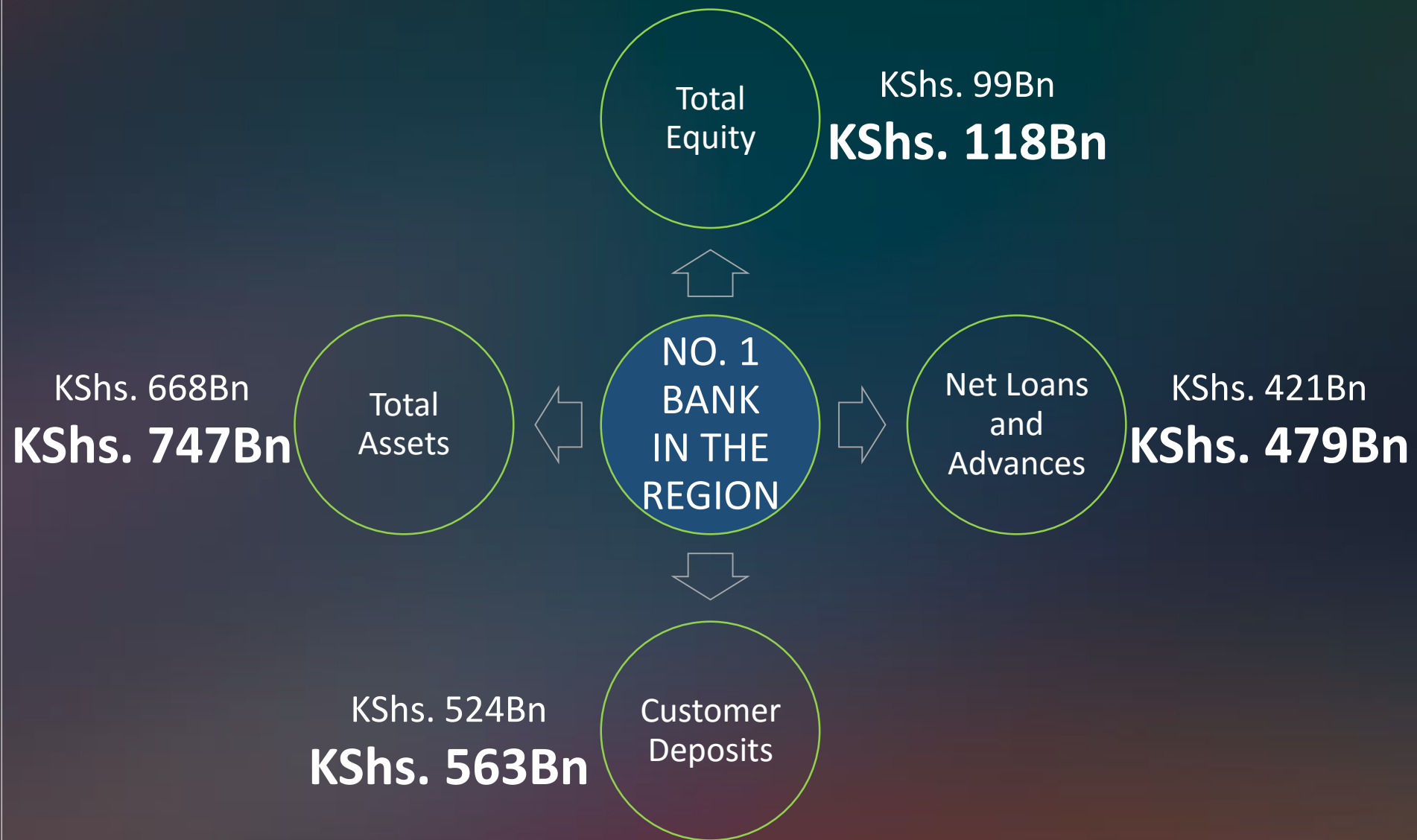
OUR FOOTPRINT

Touch Points:



REGIONAL MARKET LEADER

HY 2018
HY 2019



STABLE CREDIT RATINGS

KCB is the only
corporate to obtain the
strongest rating within
this market from two
Global Agencies

RATING AGENCY	SOVEREIGN	KCB BANK KENYA
	B2 (Stable)	B2 (Stable)
	B+/B	B+/B

No deviation in rating from 2018



MACRO- ECONOMIC HIGHLIGHTS

MACRO- ECONOMIC HIGHLIGHTS

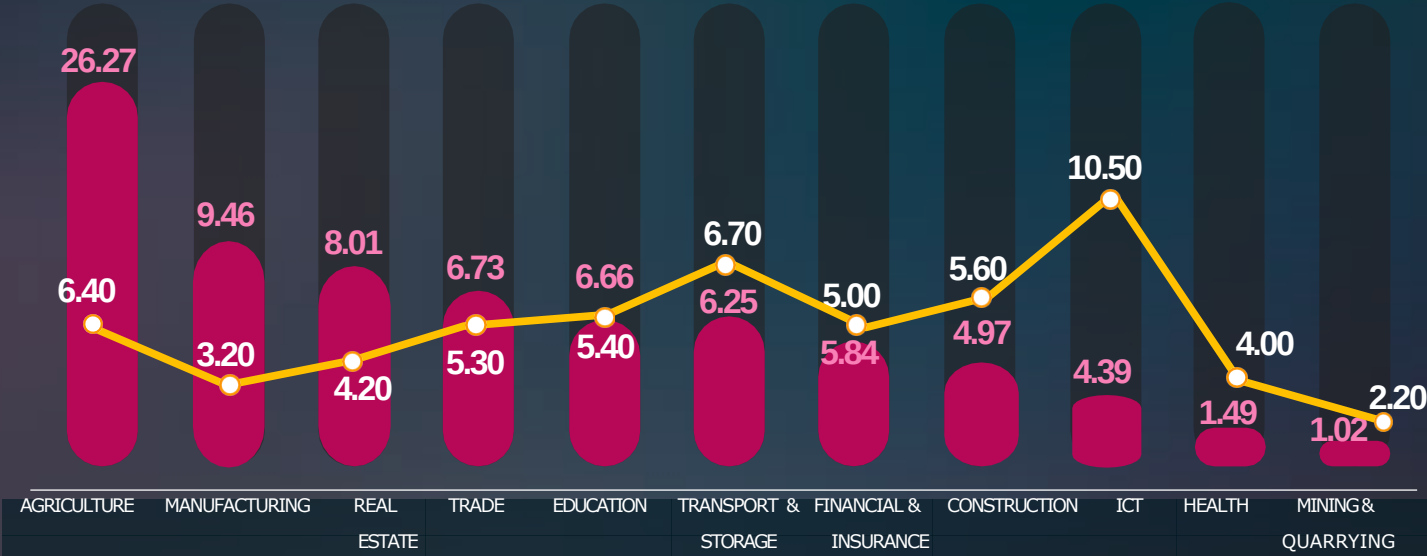
Kenya



1Q19

GDP Growth Rate (%)

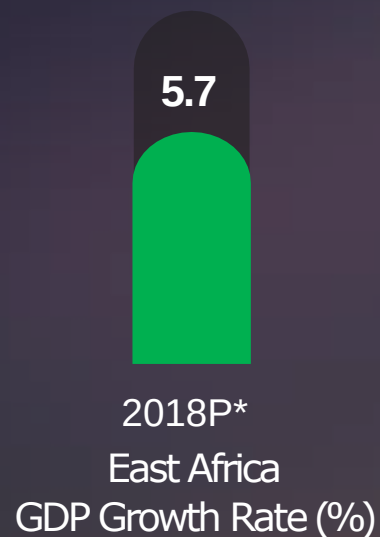
Contribution to GDP 1Q19 (%) 1Q19 Growth (%)



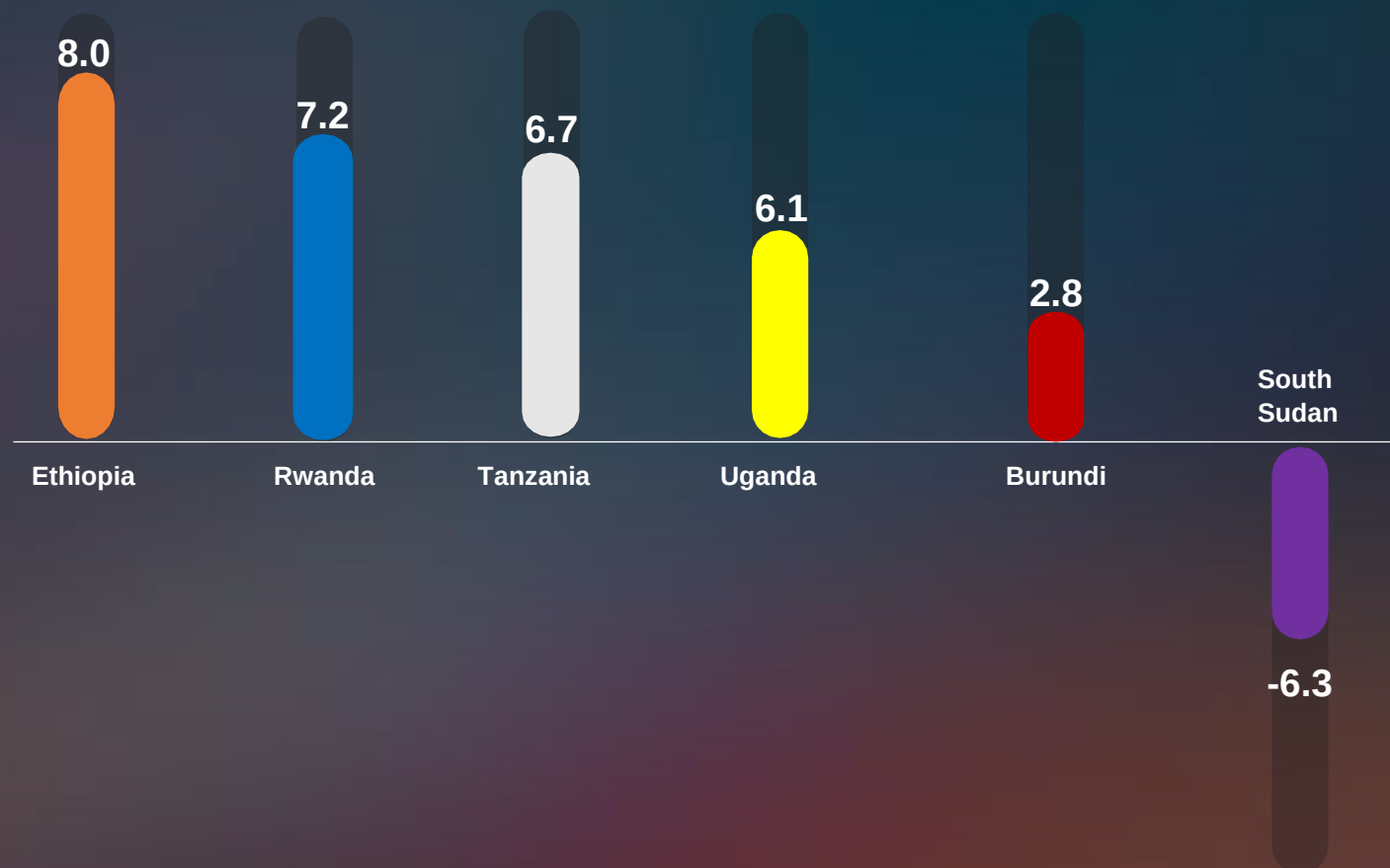
*Source: KNBS, Kenya National Bureau of Statistics

MACRO-ECONOMIC HIGHLIGHTS

Regional GDP Growth



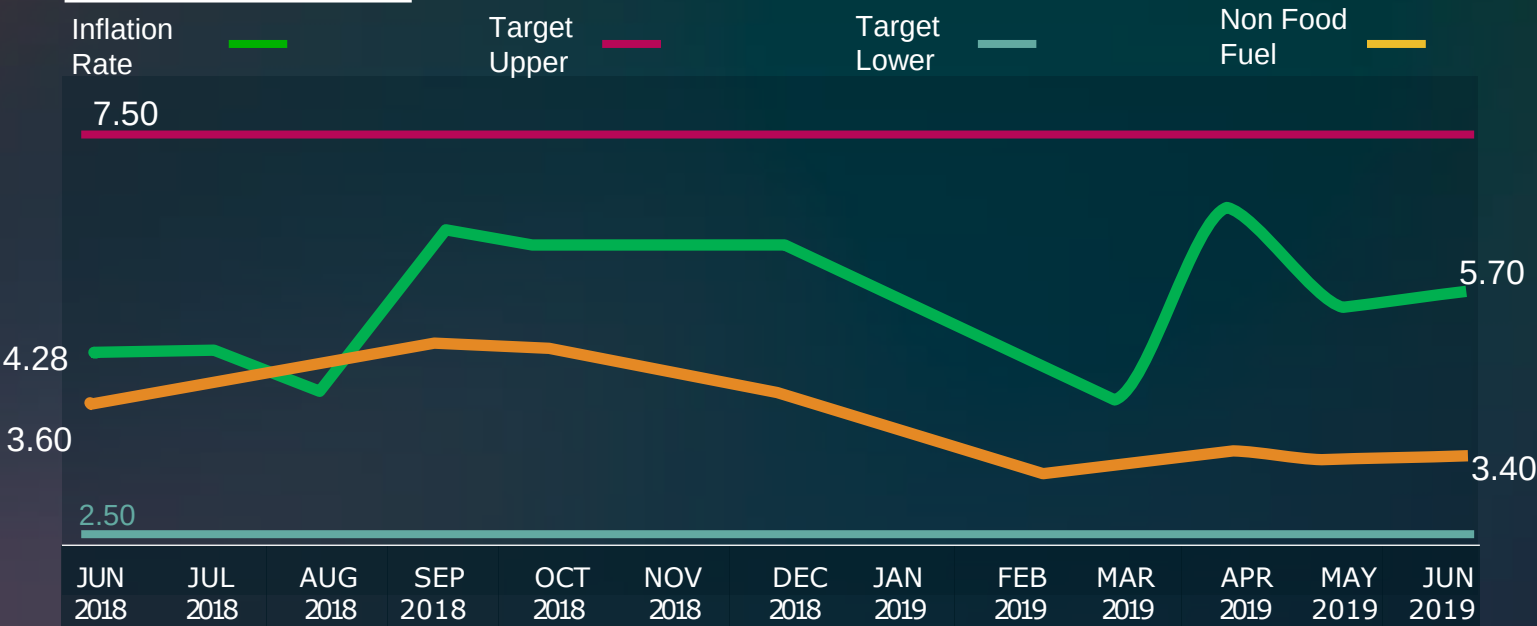
GDP Growth (%)



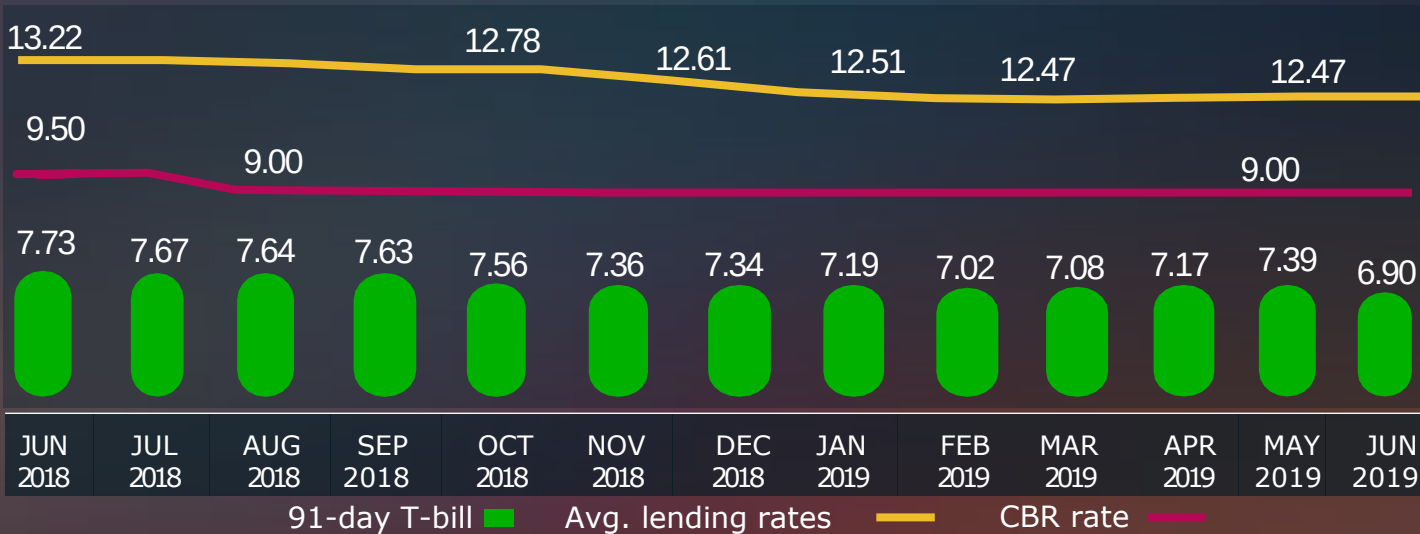
MACRO-ECONOMIC HIGHLIGHTS

Kenya

Inflation Evolution (%)



Interest Rate Evolution (%)



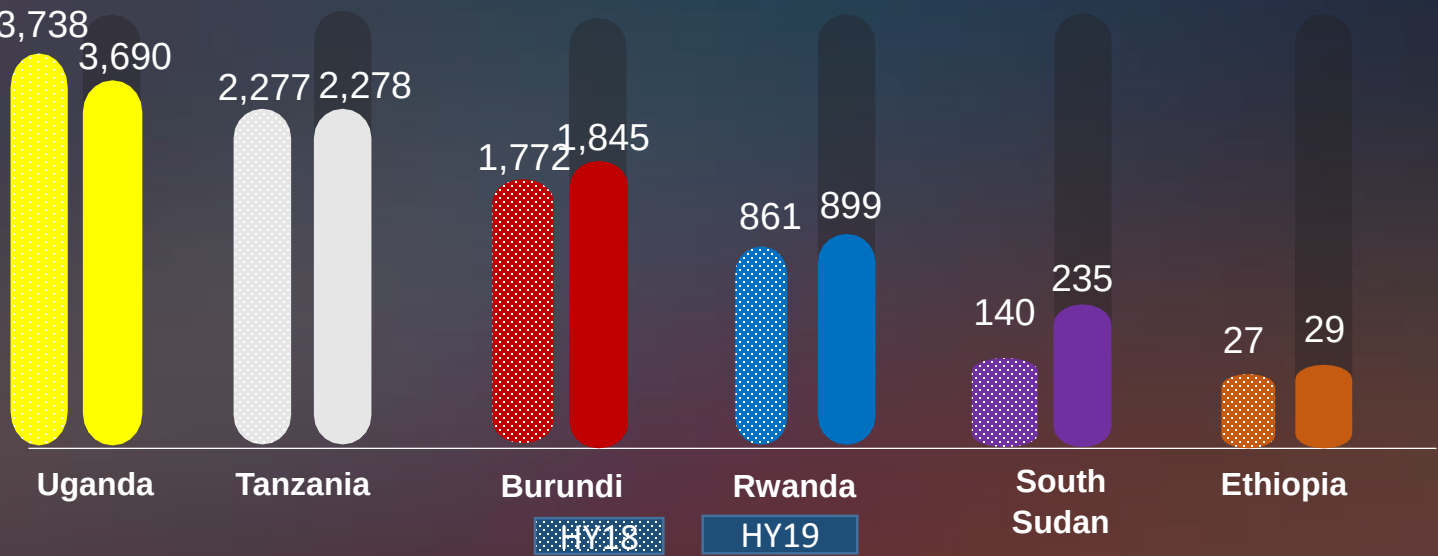
MACRO-ECONOMIC HIGHLIGHTS

Stable Currencies
across the region

USD/KES Exchange Rate (%)



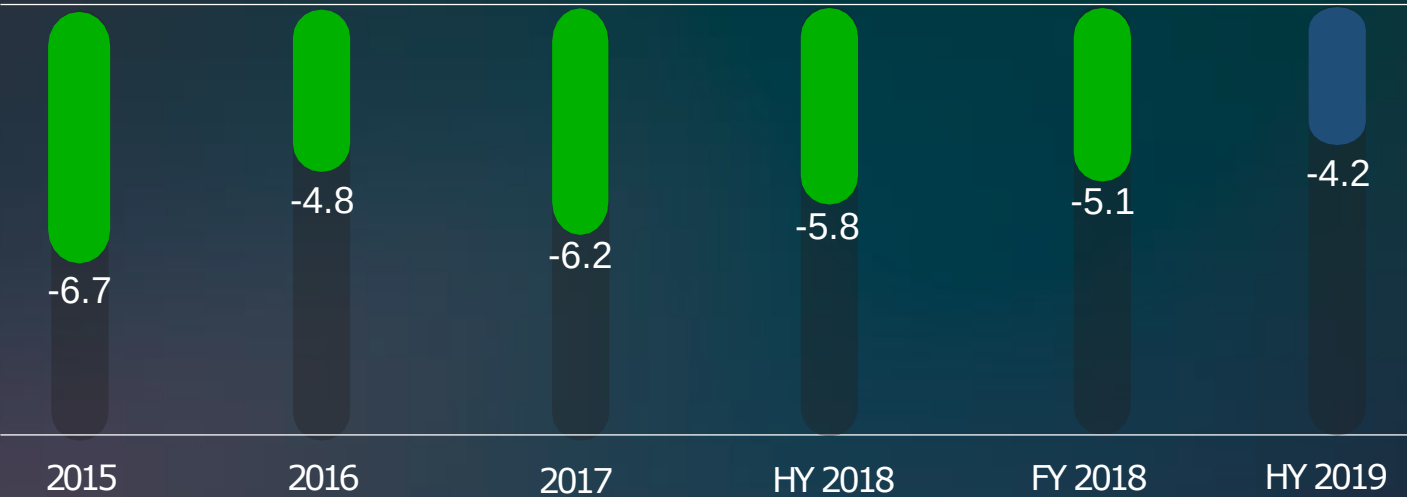
Exchange Rates to USD



MACRO- ECONOMIC HIGHLIGHTS

Kenya

Current Account Balance (% of GDP)



12 Month Private Sector Credit Growth





YEAR TO DATE OVERVIEW

2019 KENYA HIGHLIGHTS

Overview of the year to date

National Bank of Kenya (NBK) offer

- KCB served NBK the detailed Offer on 19 June 2019, following shareholder approval
- Offer period to swap shares open until 30 August 2019
- Integration team led by KCB Group CEO & MD
- We expect conclusion of the transaction with the two main shareholders

Imperial Bank (IR):

- Section 9 transfer of assets and liabilities to be concluded by 30 August 2019



2019 KENYA HIGHLIGHTS

Overview of the year to date

Banking Industry:

- A motion to repeal the Interest rate cap reintroduced in the 2019/20 Finance Bill
- Parliamentary recommendation to amend the Interest rate cap law as follows:
 - the interest rate is to be applied on an annual basis
 - replacing of the term 'credit facility' to 'loan',
 - reaffirm maximum interest chargeable at four percentage points above CBR
 - creation of a non-discriminatory penal provision
- Demonetization of old KShs. 1,000 note

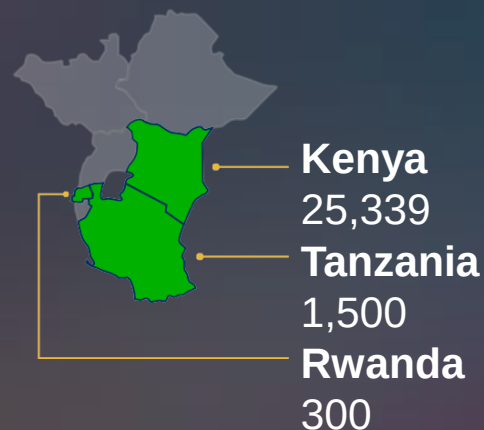
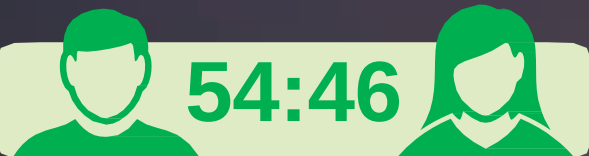


KCB 2JIAJIRI PROGRAMME HIGHLIGHTS



27,139
BENEFICIARIES
TO DATE

Male : Female Ratio



FUTURE OF 2JIAJIRI

Catalyze job and wealth
creation for at least

2,000,000

youth engaged in the informal
sector within Eastern Africa

5-year investment of over

KShs 50 billion

to nurture and grow youthful and
SME entrepreneurs

‘Young Africa Works’

KShs 10 billion

funding from the MasterCard
Foundation to scale up the bank’s
2jiajiri job creation programme



KCB FOUNDATION CASE STUDIES

Innovative Agri Entrepreneurs: Greenlife Veggies – Simon Muriithi and friends



- Armed with skills from 2jiajiri agribusiness training, they established a lettuce growing business that inculcated the hydroponics farming technology.
- Signed a five-year sub-award contract with an aggregator and off-taker.

From dilapidated structure to modern salon – Irene Wangari



- Irene trained in hairdressing and beauty at Nyeri National Polytechnic under 2jiajiri.
- Funding from KCB Foundation moved her from deplorable premises with obsolete equipment and revamped her business at Skuta area in Nyeri that currently earns her over KShs 40,000 monthly profit.

SUSTAINABILITY UPDATE



PRINCIPLES FOR
RESPONSIBLE
BANKING

Mainstreaming our 8 Adopted SDG's



- 120 Business Bankers, Relationship Managers and Credit Analysts trained on Environmental, Social Risk screening and Assessment.
- 81% of business units have identified key performance indicators for tracking and monitoring of the 8 SDG's.

UNEP FI – 6 Principles for RESPONSIBLE BANKING: Launching in Sept. 2019, NY

Alignment

Impact &
Target Setting

Clients &
Customers

Stakeholders

Governance &
Culture

Transparency &
Accountability





HY 2019 GROUP AWARDS

EUROMONEY AWARDS FOR EXCELLENCE 2019

- East Africa's Best Bank for SMEs
- Kenya's Best Bank

GLOBAL FINANCE AWARDS 2019

- Best Bank in Kenya

BRAND AFRICA AWARDS 2019

- Most Admired Financial Services Brand

AFRICAN BANKER AWARDS 2019

- Best Regional Bank in East Africa
- Innovation in Banking

GLOBAL BUSINESS OUTLOOK 2019

- Best Digital Transformation in Online Banking
- Best CSR Initiative – 2jiajiri





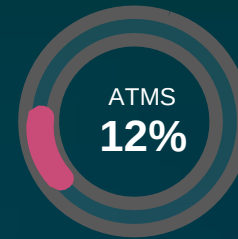
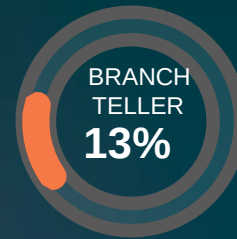
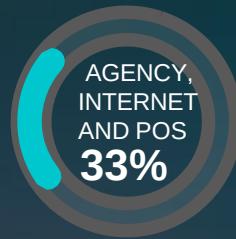
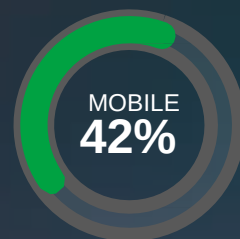
PERFORMANCE TO DATE

OUR CHANNEL CONTRIBUTION

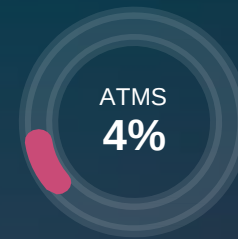
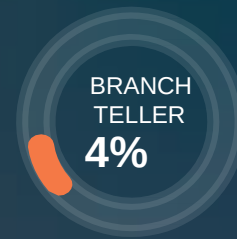
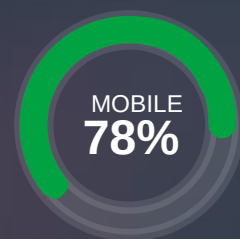
96% of transactions performed outside the branch

131% growth in non-branch revenue to over **5.2B**

June 2018



June 2019



15% decrease in average transactions / teller per day

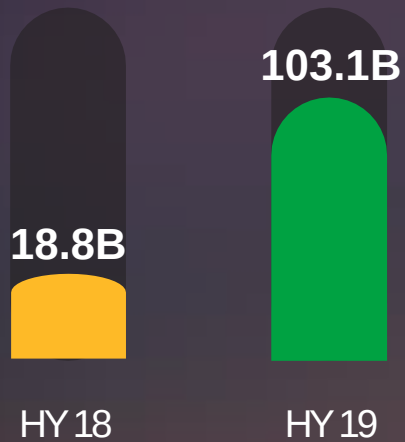


15% decrease in Number of branch transactions.

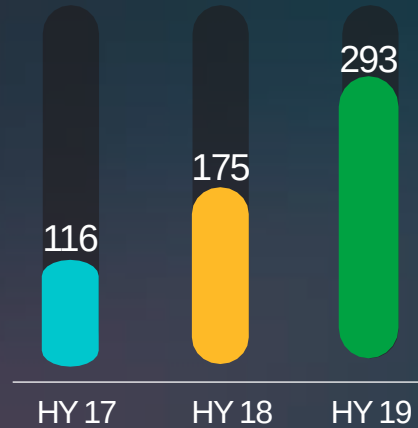


OUR CHANNEL CONTRIBUTION

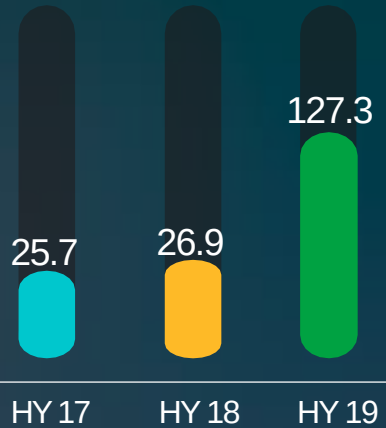
446%
Growth in total
Mobile Loans Advanced



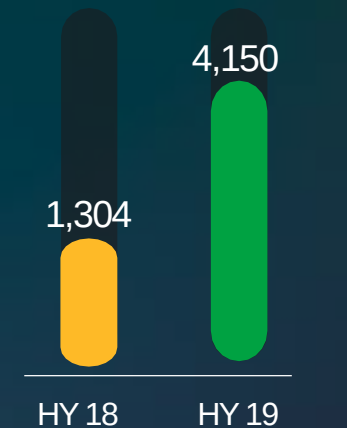
Value of Transactions (KShs.B)



No. of transactions (M)



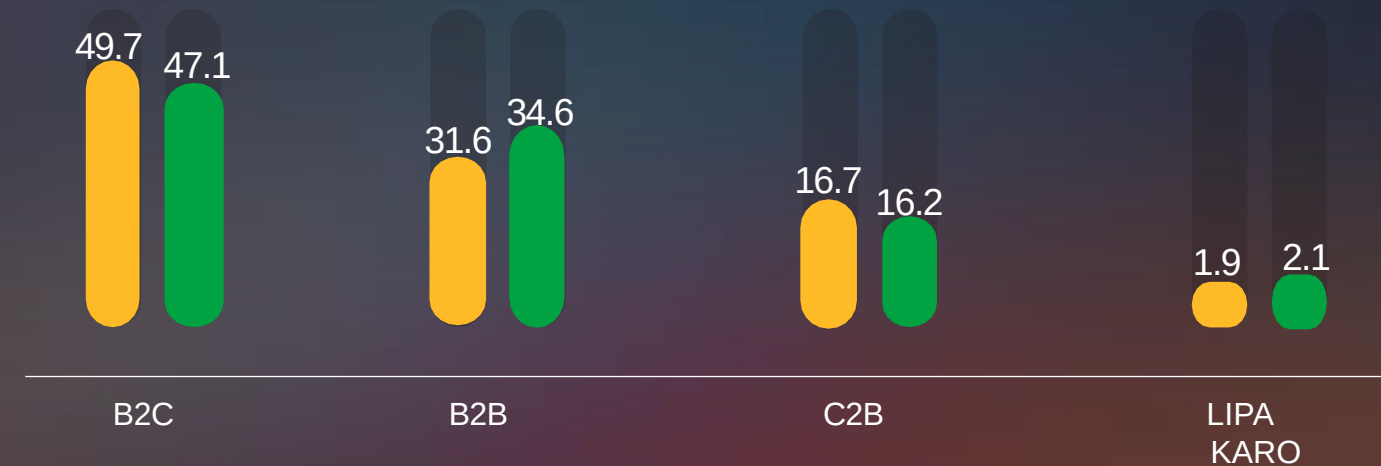
Mobile Revenue (KShs.M)



Mobile Transaction type (%)

HY 2018

HY 2019

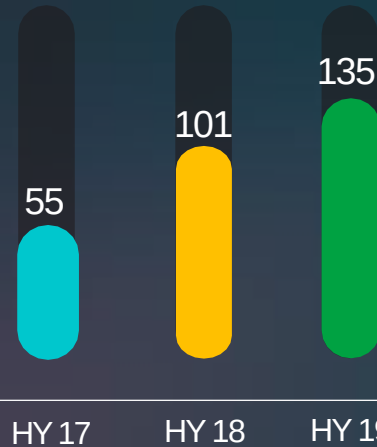


OUR CHANNEL CONTRIBUTION

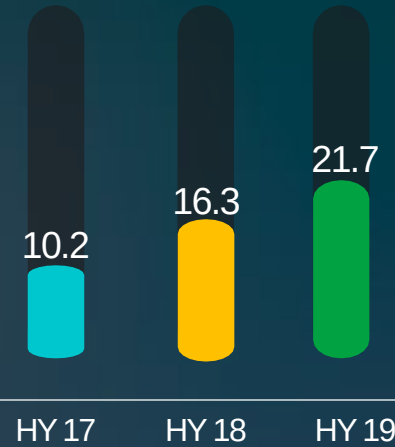


34%
Growth in
Agency
Banking
Volumes

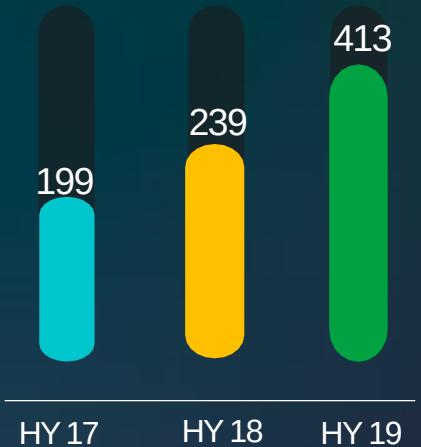
Value of Transactions
(KShs. B)



No. of transactions
(M)



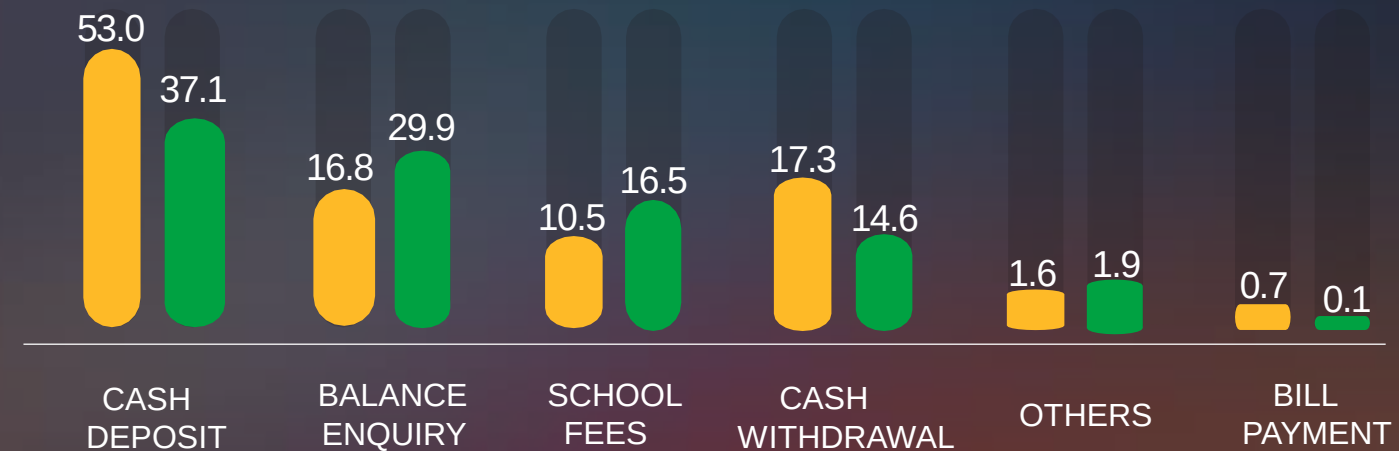
Agent revenue
(KShs M)



Agency Transaction type (%)

HY 2018

HY 2019



*Others: Account opening, mini statement, load cards and Funds transfer

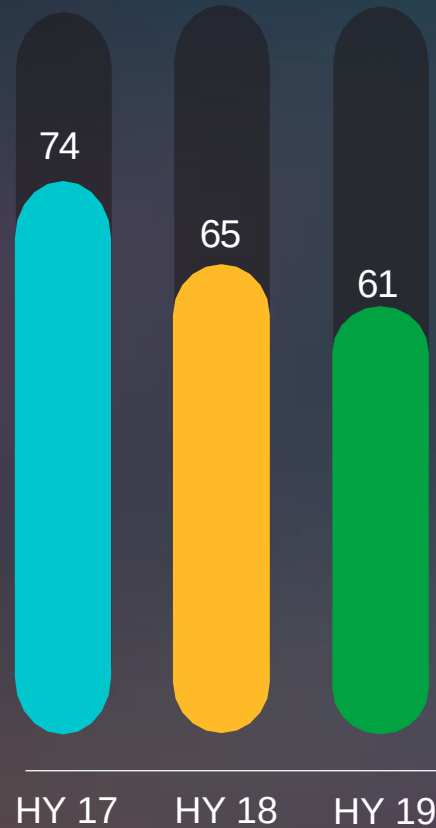
OUR CHANNEL CONTRIBUTION



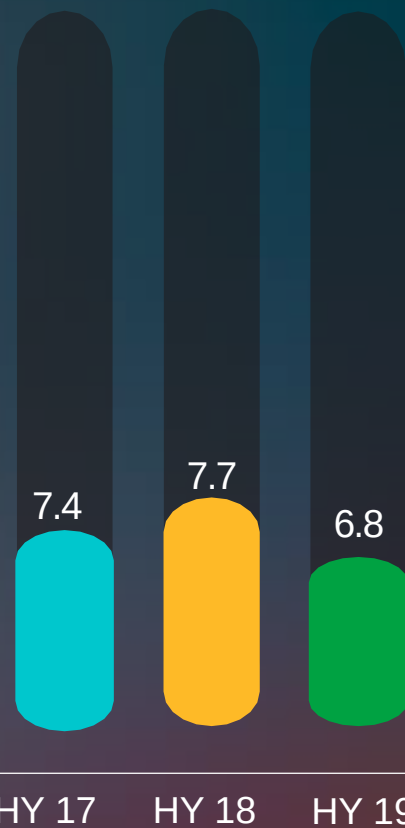
5%

Decrease
in ATM
Volumes

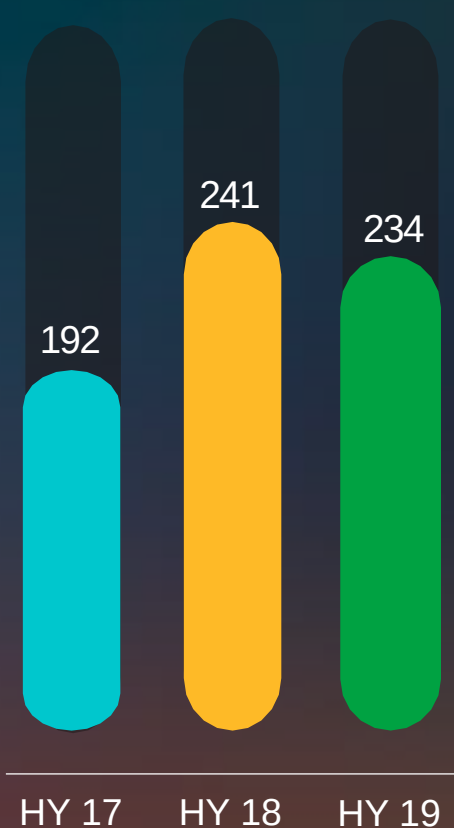
Value of Transactions
(KShs. B)



No. of transactions
(M)



ATM revenue
(KShs M)

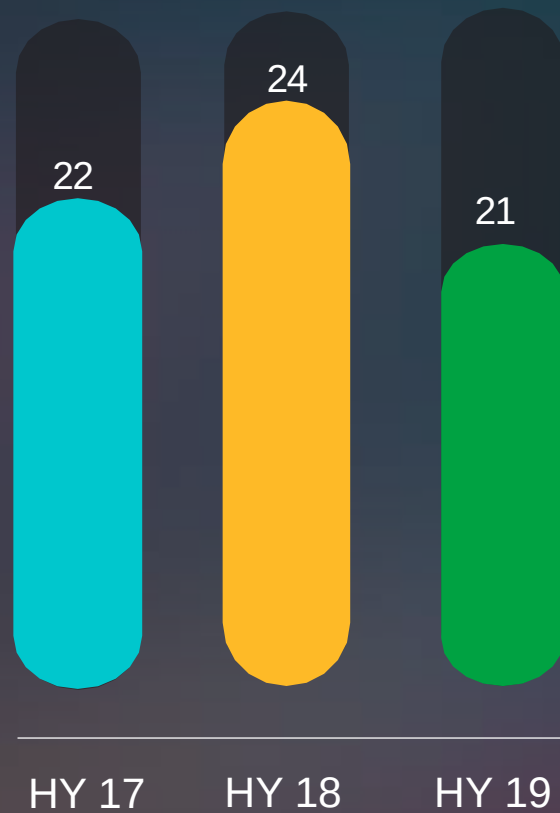


OUR CHANNEL CONTRIBUTION

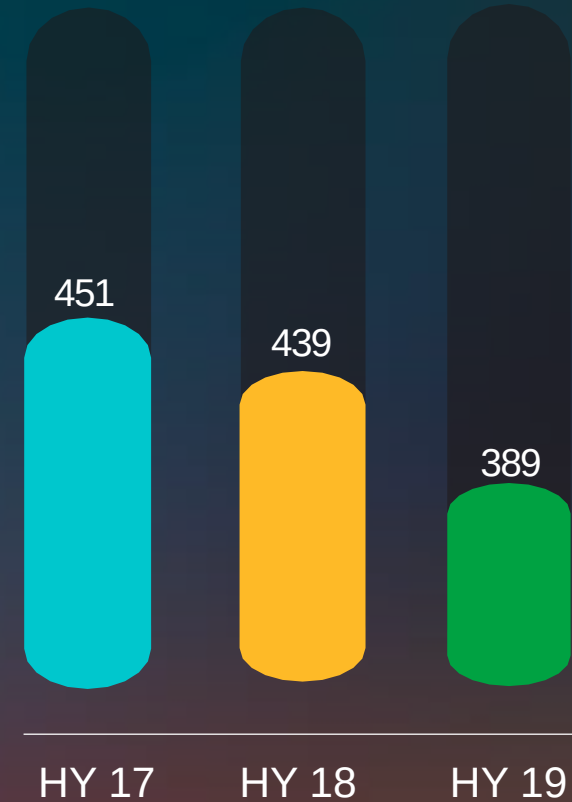


11%
reduction in
the average
value of
**Merchant/
POS**
transactions

Value of Transactions (KShs. B)



POS Revenue (KShs. M)





OUR FINANCIALS

BALANCE SHEET HIGHLIGHTS



12% growth
in **Total
Assets**

Govt. Securities

KShs 110.5B

KShs 132.9B

Net Loans &
Advances

KShs 421.5B

KShs 478.7B

Customer
Deposits

KShs 524.9B

KShs 563.2B

Total Assets

KShs 667.7B

KShs 746.5B

HY18

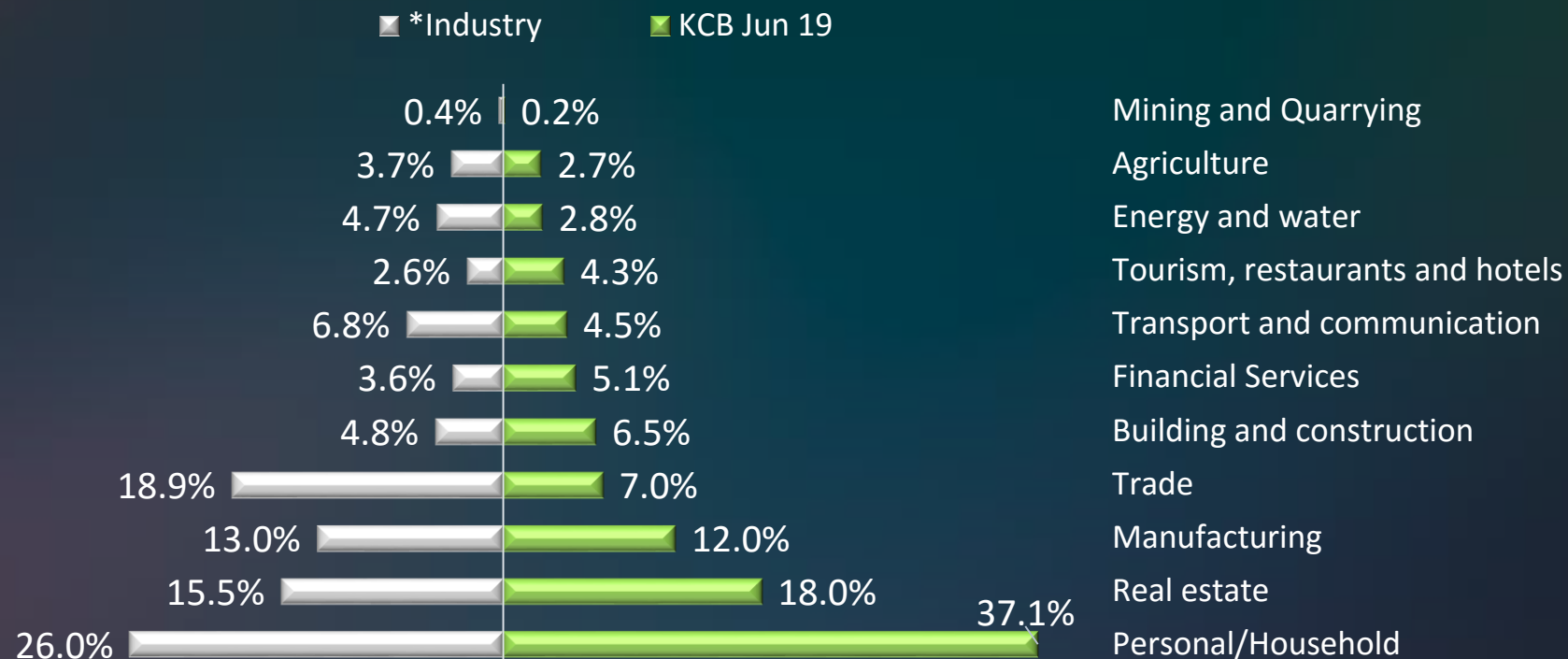
HY19

LOAN BOOK PERFORMANCE



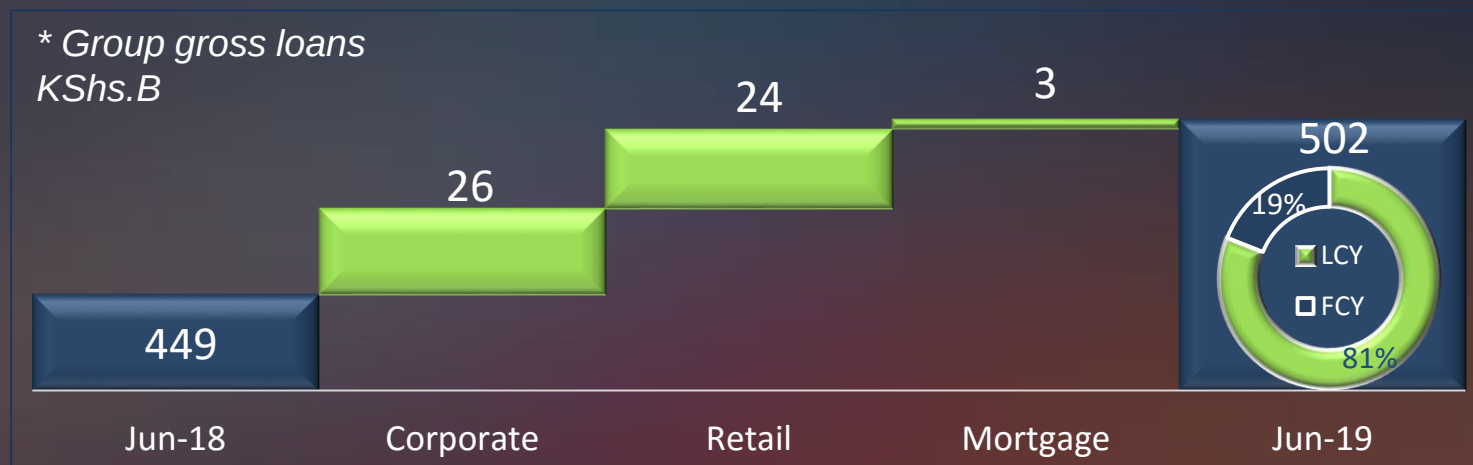
12% growth in Gross Loans Advanced

Sectoral Loans Comparison



*CBK Data as at Sept-2018

* Group gross loans
KShs.B

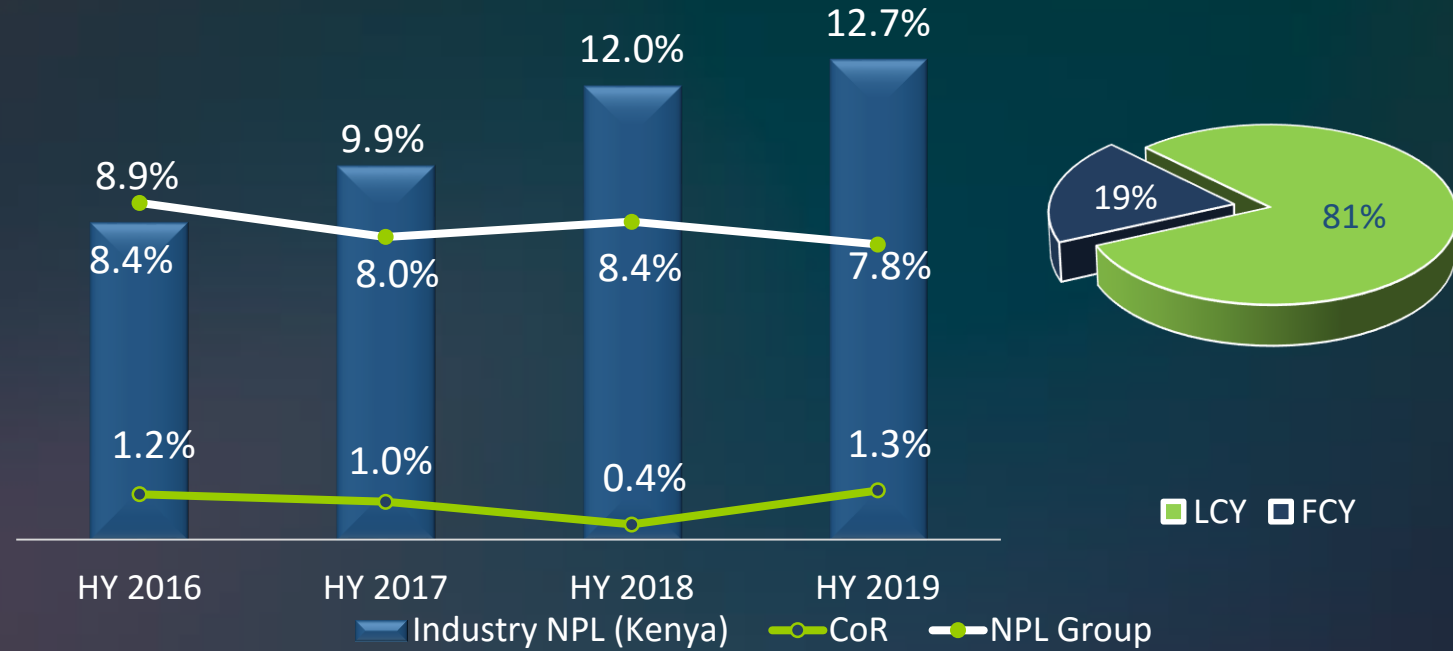


LOAN BOOK PERFORMANCE

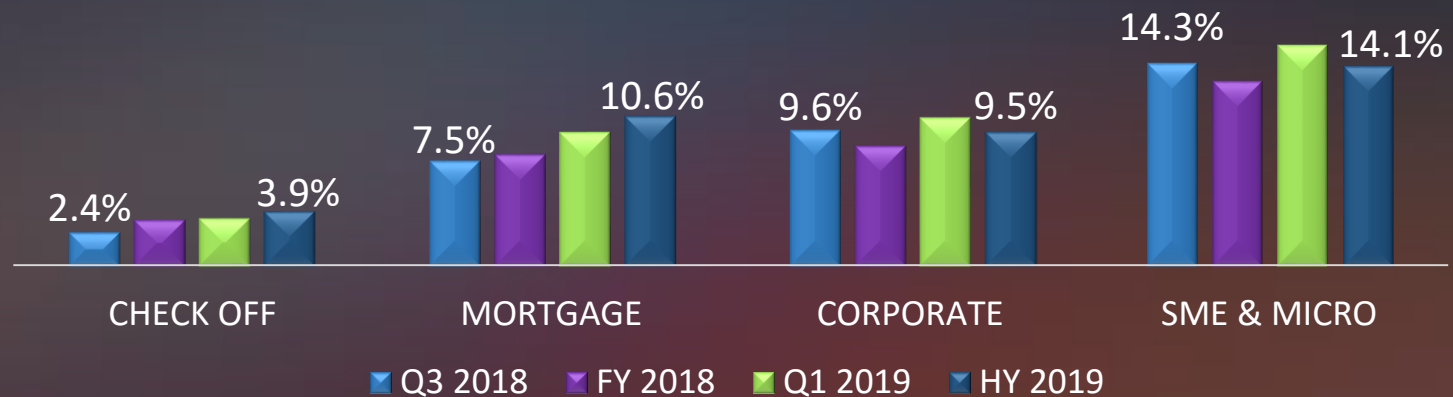


60bps
Asset Quality Improvement

Asset Quality Review



NPL Breakdown

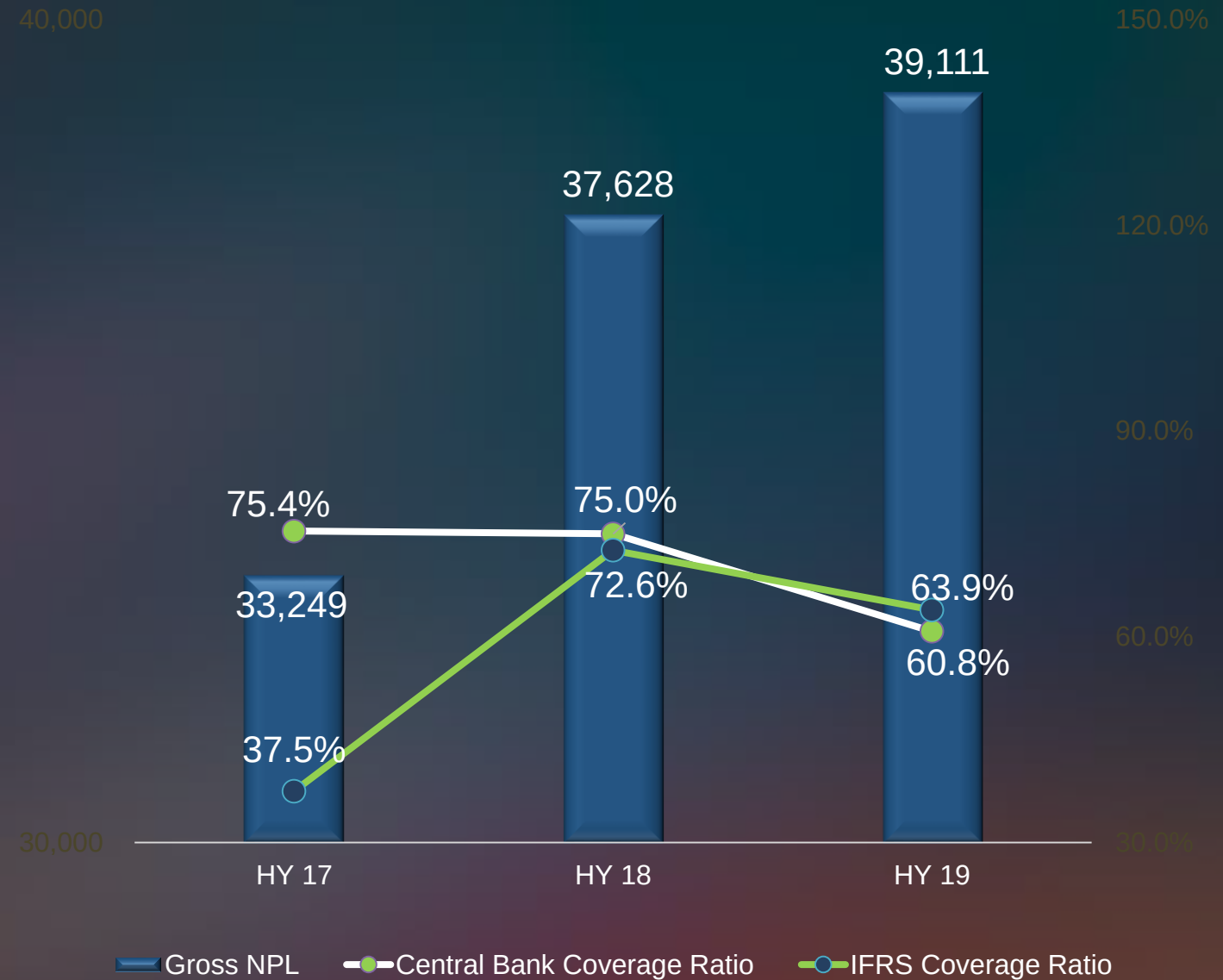


LOAN BOOK PERFORMANCE

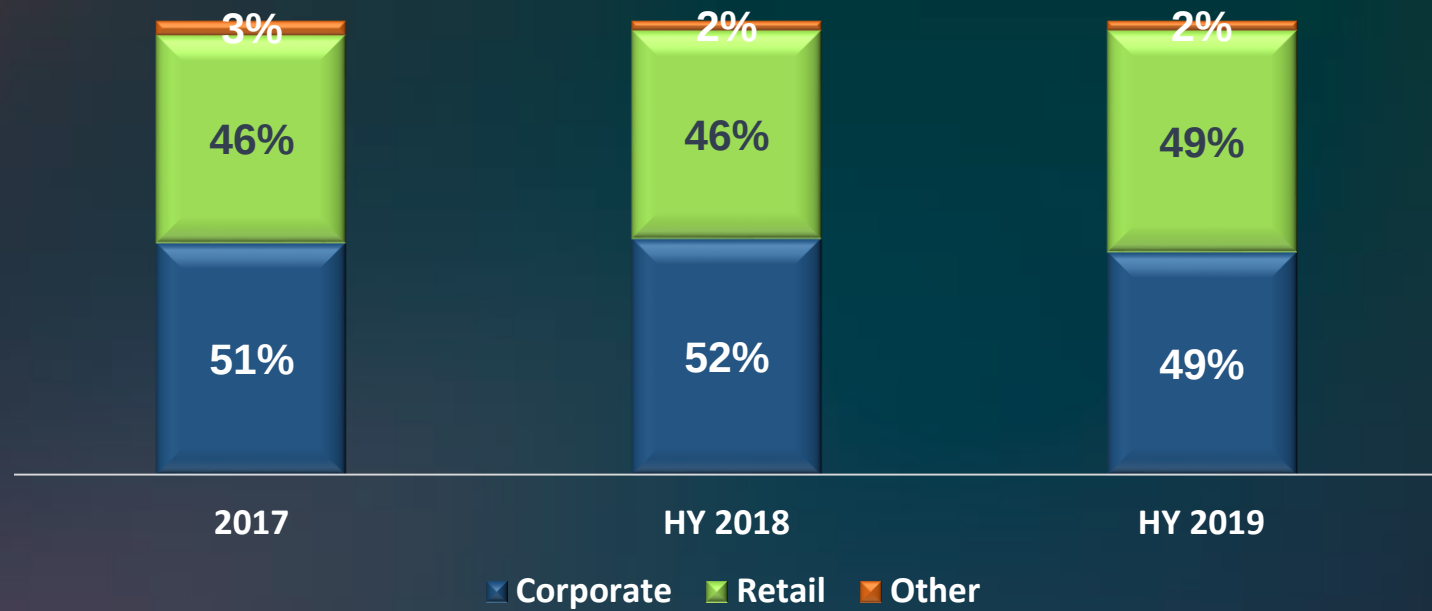


4%
Increase in
stock of Non-
Performing
Loans

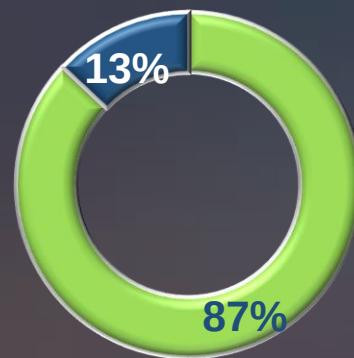
Group Coverage Ratio



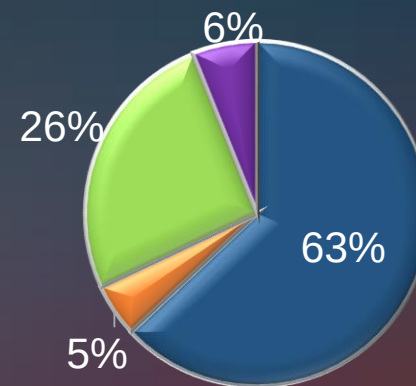
BALANCED DEPOSIT MIX



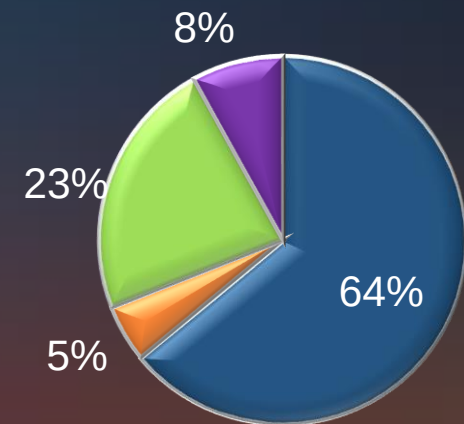
Currency Mix



Deposits by Type HY 18



Deposits by Type HY 19



LCY FCY

Demand

Savings

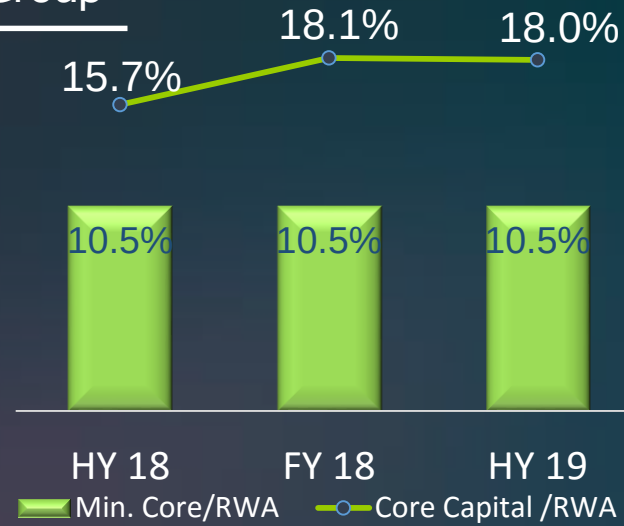
Term

Call

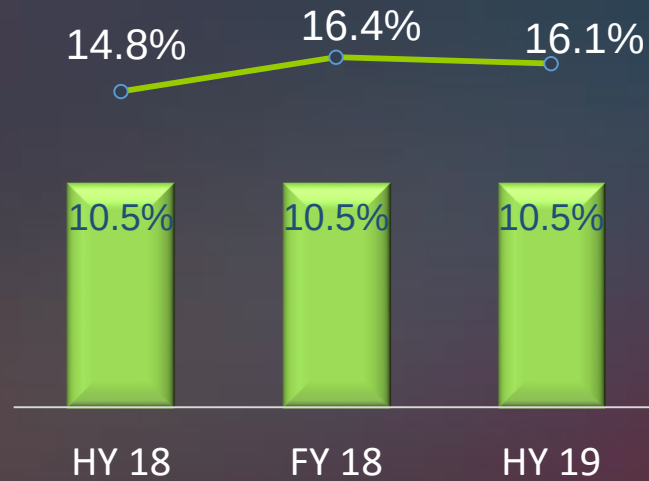
STRONG CAPITAL BUFFERS

Core Capital to RWA

Group

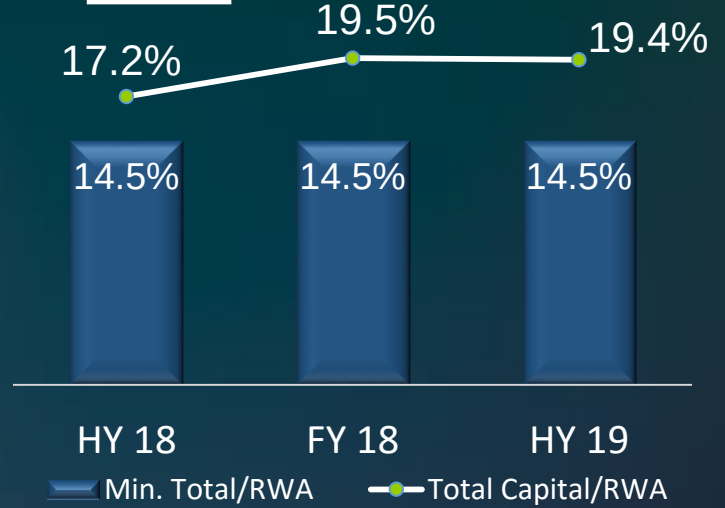


Kenya

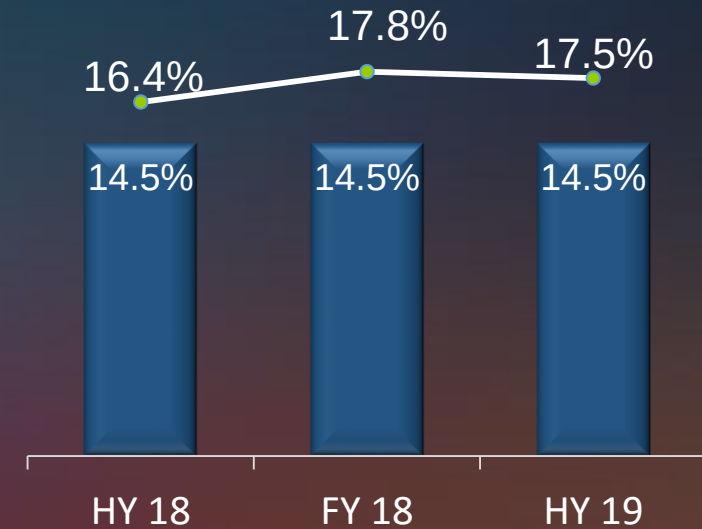


Total Capital to RWA

Group



Kenya



P&L HIGHLIGHTS



Profit
before
tax
Up 5%



5% Net
earnings
growth to
KShs
12.7B

Net interest
income

KShs 24.1B

KShs 25.4B

Total non
Interest Income

KShs 11.5B

KShs 13.2B

Operating
Expenses

KShs (18.5B)

KShs (20.6B)

Profit before tax

KShs 17.1B

KShs 17.9B

HY18

HY19

INTERNATIONAL BUSINESS HIGHLIGHTS



23% growth in banking subsidiaries loans and advances



- Flat earnings growth in banking subsidiaries

- 42% earnings growth excl. KCB Bank Uganda

KShs. M

Net Loans & Advances

PBT

KCB Bank
South
Sudan

246

740

229

128%

100

KCB Bank
Burundi

1,918

3,327

156

56%

100

KCB Bank
Uganda

5,610

6,269

283

(151%)

(143)

KCB Bank
Rwanda

12,505

15,821

419

35%

310

KCB Bank
Tanzania

14,650

16,846

371

451

22%

HY18

HY19



HY 2019 PERFORMANCE SUMMARY

Investment on Government Securities (KShs. Million)	HY19 
	132,949
	HY18
	110,524

Net Loans and Advances (KShs. Million)	HY19 
	478,731
	HY18
	421,509

Customer Deposits (KShs. Million)	HY19 
	563,236
	HY18
	524,939

Total Assets (KShs. Million)	HY19 
	746,519
	HY18
	667,682

Staff costs (KShs. Million)	HY19 
	8,996
	HY18
	8,600

Profit Before Tax (KShs. Million)	HY19 
	17,932
	HY18
	17,096

Non-Performing Loans (KShs. Million)	HY19 
	39,111
	HY18
	37,628

Return on Assets	HY19 
	3.6%
	HY18
	3.7%

Market Capitalization (KShs. Million)	HY19 
	117,275
	HY18
	141,803

STRONG BALANCE SHEET GROWTH

Driven by
KShs **57.2B**
growth in
net loans

KShs Billion	KCB Group			KCB Bank Kenya		
	Actual HY 18	Actual HY 19	Y-O-Y Change	Actual HY 18	Actual HY 19	Y-O-Y Change
Cash and balances with central bank	37.3	66.0	77%	34.7	42.8	24%
Balances with other institutions	49.6	17.0	(66%)	25.4	14.4	(43%)
Investments in Government & Other securities	112.5	135.0	20%	96.8	120.0	24%
Net loans and advances	421.5	478.7	14%	386.6	435.7	13%
Fixed assets	13.5	16.2	20%	10.3	11.5	11%
Other assets	33.1	33.6	1%	28.9	28.6	(1%)
Total Assets	667.7	746.5	12%	582.7	653.1	12%
Customer deposits	524.9	563.2	7%	470.3	502.8	7%
Balances due to other banks	8.6	18.8	120%	0.3	8.7	3021%
Other liabilities	14.5	24.5	69%	11.9	21.9	84%
Long-term debt	20.7	22.4	8%	17.1	19.0	11%
Total Liabilities	568.7	629.0	11%	499.5	552.4	11%
Shareholders' equity	99.0	117.5	19%	83.2	100.7	21%
Total liabilities and equity	667.7	746.5	12%	582.7	653.1	12%

5% GROWTH IN EARNINGS

KShs Billion	KCB Group			KCB Bank Kenya		
	Actual HY 18	Actual HY 19	Y-O-Y Change	Actual HY 18	Actual HY 19	Y-O-Y Change
Interest income	32.2	33.6	4%	28.9	29.9	4%
Interest expense	(8.1)	(8.2)	2%	(6.9)	(6.9)	(0%)
Net interest income	24.1	25.4	5%	21.9	23.0	5%
Foreign exchange income	2.8	2.1	(27%)	1.3	1.3	2%
Net fees and commissions	6.8	8.9	31%	5.4	7.8	44%
Other income	1.9	2.2	18%	1.7	1.9	11%
Total other operating income	11.5	13.2	15%	8.4	11.0	30%
Total other operating expenses	(17.7)	(17.6)	(1%)	(13.8)	(14.5)	5%
Provisions for bad debts	(0.8)	(3.0)	266%	(0.7)	(2.7)	265%
Profit before tax	17.1	17.9	5%	15.8	16.8	6%
Tax	(5.0)	(5.2)	5%	(4.7)	(5.0)	9%
Profit after tax	12.1	12.7	5%	11.1	11.8	5%

OVERVIEW OF KEY FINANCIAL RATIOS

FY17	HY 18	FY18		KENYA	GROUP
19.5%	23.5%	21.9%	Return on Average Equity	24.0%	23.5%
51.0%	47.0%	48.3%	Cost to Income	42.7%	45.7%
8.5%	8.4%	6.9%	Gross NPL to Gross Loans	7.8%	7.8%
72.5%	72.6%	72.4%	NPL Coverage	73.8%	60.8%
14.0%	20.9%	19.7%	Debt to Equity	18.9%	19.1%
32.2%	32.3%	32.0%	Non funded income to total income	32.3%	34.1%
3.0%	3.0%	3.2%	Cost of funds	2.8%	2.8%
8.9%	8.3%	8.1%	Net Interest Margin	8.0%	8.3%
1.5%	0.4%	0.7%	Cost of risk	1.2%	1.3%
85.1%	85.5%	84.8%	Loan to Deposit Ratio	91.1%	89.2%
10%	4%	8%	Growth of Net Loans and Advances	12.7%	14%
11%	9%	8%	Growth of Customer Deposits	6.9%	7%

INTERIM DIVIDEND

Following these results, the Board of Directors approved payment of an interim dividend of KShs: 1.00 per share.

The dividend will be paid on or about Friday 15 November, 2019, to shareholders registered at the close of business on Thursday 5 September, 2019.



THANK YOU

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